

	CRSP Total U.S. Stock Market	FF Small Value	FF Small Value Less CRSP Total Market
1995	36.5	27.7	-8.8
1996	21.2	20.7	-0.5
1997	31.3	37.3	6.0
1998	23.4	-8.6	-32.1
1999	23.6	5.6	-18.0
2000	-10.9	-0.8	10.1
2001	-11.0	40.2	51.2
2002	-20.9	-12.4	8.5
2003	31.6	74.7	43.1
2004	12.5	26.6	14.1
2005	6.2	4.8	-1.3
2006	15.5	22.2	6.7
2007	5.8	-16.6	-22.4
2008	-36.7	-43.1	-6.4
2009	28.8	34.6	5.8

[Figure 6-7](#) illustrates the historic rolling 36-month correlation between small value stocks and the broad market. The correlation averages about +0.8, with varying consistency. The periods of lower correlation points to unique risks among small value stocks, and this creates potential for a diversification benefit.

An interesting point in [Figure 6-7](#) is the downward spike in correlation that occurred during the late 1990s and into the early 2000s. During that period, small-cap value stocks performed poorly in relation to the predominantly large-cap growth-oriented total U.S. market, and then the trend reversed and small value stocks catapulted above large-growth stocks after the millennium.

Investors who followed a broadly diversified asset allocation that included a total market fund and a small value index fund would have fared very well during the past decade. Of course, you needed to be there to win. As discussed in [Chapter 5](#) and highlighted in [Figure 5-2](#), the late 1990s was a time when many investors abandoned dusty value stocks in favor of glamour growth stocks, only to watch their money evaporate during the tech wreck.